AMAZON BUSINESS MODEL



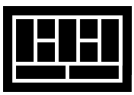
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SUPER GUIDE:

AMAZON BUSINESS MODEL

BY DANIEL PEREIRA



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INTRODUCTION

There are over 26 million e-commerce sites across the entire globe, with more being created every single day. However, none of them are as iconic and revered as the technological merger company, Amazon.

The technological e-commerce giant is undoubtedly the largest online marketplace in the world. The company caters to about 8 million retailers, businesses, and entrepreneurs. It ships out about 1.6 million packages daily, roughly equivalent to 18.5 packets per second.

It is the largest e-commerce platform in the U.S. and is worth more than the next 14 businesses combined. The company is worth about $1.04 trillion and has been around for only 28 years.

It was founded by Jeff Bezos, who, according to Forbes magazine, is the 4th richest man in the world. The company is in 20 countries across five continents, including the United States, France, Italy, the United Kingdom, Turkey, India, Saudi Arabia, Japan, Singapore, Mexico, Australia, Colombia, Poland, and Brazil. Its current CEO is Andy Jassy.

It is frequently referred to as the "everything store." The company is increasingly evolving from being a retail company into a platform with the same business model as the likes of Google, Facebook, Apple, and Microsoft. Collectively referred to by the acronym GAFAM, the profits of these top-five tech companies have shaped and molded the world as a whole, while subsequently shaking the foundations of the business sector.

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The company is often thought to be only an e-commerce platform that helps connect sellers and buyers and acts as a middleman. However, the truth can be no further from this as the company has branches deeply rooted in computing and data processing, entertainment, Patents, book publication, and many more. Each of the many segments of the company works simultaneously and in tandem to create a vast, technologically advanced business empire.

But the question is, how does Amazon make money? And what business strategy does it employ to attain success? In this in-depth analysis of Amazon's business model, we will share with you everything you need to know about the company.

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A BRIEF HISTORY OF AMAZON?

Amazon is one of the largest multinational technology companies on the planet. The company focuses on e-commerce, cloud computing, online advertising, digital streaming, and artificial intelligence.

Often referred to as "one of the most influential economic and cultural forces in the world". The company is one of the world's most valuable brands.

The company stands as one of the Big Five American information technology companies, among the likes of Alphabet, Apple, Meta, and Microsoft.

Formerly known as Cadabra between 1994 and 1995, the company was founded by a former Wall Street hedge fund executive and visionary named Jeff Bezos.

He was fully aware of the business potential created by the internet during its early years and used this knowledge. He decided to create an online e-commerce store, which he intended to name "Cadabra," derived from the popular magician phrase abracadabra.

However, he would later change the name after he was advised by his lawyer, Todd Tarbert. Todd argued that the name was obscure and, when spoken on the phone, sounded like a word that referred to dead bodies, "Cadaver".

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Jeff would listen to his lawyer and change the company's name to Amazon. The company was launched on July 5th, 1994. The online marketplace focused solely on selling books, as it seemed to Jeff, a logical option.

Against the odds and speculations of the financial journalists and analysts who predicted Amazon and the Internet as a failure.

Amazon.com gained 180,000 accounts in its first year. This success caused the company to expand into multiple product categories, which helped the company earn its moniker, The Everything Store.

FOUR KEY WAVES

Amazon's rich history can be broken down into 4 distinct waves. Each of these waves marks a significant milestone crossed by the company as it grew to be the giant it is today.

1994-2005
Amazon went public in May 1997. The company had long since branched out from only selling books and, as of 1998, had begun selling music, videos, video games, consumer electronics, home improvement items, software, games, and toys.

In the same year, it began international operations by introducing online booksellers from the UK and Germany into the marketplace.

In 2002, it launched Amazon Web Services (AWS), which initially focused on providing APIs for Web developers to build Web applications on top of Amazon's e-commerce platform.

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In 2004, AWS was expanded to provide website popularity statistics and Web crawler data from the Alexa Web Information Service.

During this period, Amazon also placed investments in multiple internet startups. However, this startup investment would deal Amazon a great deal of loss, with the worst being the bankruptcy of Pets.com, which was one of the vital investments the company had bet on.

As the early 2000s rolled around, the company changed its business strategy and cut all investments in companies it did not directly control. This change led to the company's transition from an e-commerce company to a platform business model.

2005-2015
As the mid-2000s came into play, Amazon had set itself up entirely for a total change in its business model.

The company began experimenting with different programs and products. Some turned out to be total failures, such as the Kindle Fire phone, a 3D-enabled smartphone developed by Amazon[5] and manufactured by Foxconn.

Others, however, turned out to be massive successes and incredible business segments like the Amazon streaming platform Amazon Prime Video, its popular cloud service provider Amazon AWS and its advertisement sector Amazon Advertisement

2015-2020
By 2015, the company had already proven itself to be a giant in the tech industry and had begun to compete with the top players of the time.

During this period, the company focused on expansion in

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places of interest, such as Europe, Mexico, and India. It also tried hard to break into China.

Its most outstanding achievement was from the AWS sector, as the numbers soared high enough to make tech giants like Google and Microsoft double down on cloud computing and its technology.

2020-Forward

As the pandemic swept through the world and caused a halt to most of its economic sectors, Amazon became one of the companies that made its mark on the world.

The company had created a customer-obsessed business that focused on bettering itself. So much so that it spent a substantial amount of money in order to scale its services further and make them even more compelling to customers.

However, this created tension among other stakeholders, such as employees, suppliers, and third-party stores.

This tension has led to Amazon being a controversial company, loved by its loyal customers. During this period, the company hired 100,000 more staff in the U.S. and Canada. Some Amazon workers in the U.S., France, and Italy protested the company's decision to "run normal shifts" despite many positive COVID-19 cases

However, complaints like this are to be expected as the company has moved to focus more on customer experience.

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WHO OWNS AMAZON

As mentioned, Amazon is owned by its billionaire founder, Jeff Bezos. On July 2, 2021, Amazon announced that Jeff Bezos would step down as CEO to become executive chair of Amazon's board in Q3 of 2021. Andy Jassy, previously CEO of AWS, became Amazon's CEO and president.

Differently from Google x Alphabet and Facebook x Meta relations, Amazon is the official name of the holding group, which includes all of its emerging services, such as Amazon Music, Amazon Prime Video, Kindle and Alexa devices, and Amazon Web Services (AWS), among many others.

The name "Amazon" was chosen in 1994 by Bezos and his then-wife, MacKenzie Tuttle. The two had to brainstorm a new name for the company and settled on Amazon, as it was the biggest river in the world. It aligned with Bezos' goal to make his online store similarly vast.

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AMAZON'S BUSINESS MODEL

When it comes to the Amazon business model, one will be in the right place if it is likened to a moving train with many diverse but crucial parts.
From the outside, the company looks like a collection of separate companies working together for the common good. That image is not as farfetched as it may seem.

First and foremost, the company gains some revenue by selling goods directly to its customers. A good percentage of goods are offered to Amazon customers with a small markup through Amazon's online storefront. The inventory of these storefront goods is kept within the company's extensive network of warehouses.

Due to the company's reputation, it garners a lot of customers as they assume goods are cheaper and readily available to be shipped or delivered.

The company also acts as an online market platform that allows third-party markets to sell their products to their large and loyal customer base. Products sold through Amazon's partner retailers or third-party markets are often less common items or those with a higher purchase price. This allows Amazon to avoid holding slow-moving inventory that could dilute profit.

While Amazon does not charge retailers for listing their products for sale, the company does collect a small

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commission from the sales made by the retailers.

The company also sells e-books through its online store, Amazon Kindle Direct Publishing (KDP), which also gives the option for third-party sales just like its primary market.

Besides the market, Amazon also generates a small portion of its revenue from the sales made from a small electronics product line.

The company runs a subscription-based business model through its Amazon Prime service. Prime account customers pay an annual fee to secure free two-day or same-day shipping on eligible items and have access to streaming media, such as digital music or movies.

Lastly, the company also has its own cloud infrastructure called AWS, which is a world leader and a business with high margins. As well as an advertising business worth a few billion dollars

As you can see, the business model is a mix of multiple independent sectors working as a whole. Amazon measures its success via a customer experience obsession, lowering prices, stable tech infrastructure, and free cash flow generation.

AMAZON'S VS. ALIBABA'S BUSINESS MODELS

Since Amazon can be said to be America's largest online market, Alibaba can also be said to be the Chinese equivalent of Amazon.

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Although similar in their goal of building an online community that facilitates the movement of goods from buyers to sellers across the globe, the two companies have a few differences in their business model and how they approach this goal.

Firstly, although the two facilitate the trading of goods online, Amazon retains a portion of the sales made as a commission for acting as a middleman between the buyer and seller.

Alibaba, on the other hand, does not charge any commission on sales or for listings. Instead, the company charges sellers a specific amount to rank higher on their marketplace's internal search engine. This generates advertising revenue for Alibaba.

Secondly, there is no market distinction between large sales corporations and small business retailers on Amazon. Both parties can offer their goods to the public on the same platform.

However, Alibaba has Taobao, the largest market that caters to small retailers looking to sell their goods. It also has Tmall, which is an online market owned and operated by Alibaba that is designed to cater to the needs of larger marketing corporations like Nike, Apple, and Gap.

DIFFERENT AMAZON BUSINESS MODELS

Besides the primary business plan followed by Amazon, there are six overarching business models that third-party markets or retailers can use to generate revenue for themselves.

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These business models depend on the kind of goods sold; none can be considered right or wrong. Rather, each has its own specific pros and cons regarding how they generate revenue for the retailers.

Retail arbitrage

Retail arbitrage is an easy business model favored by those in search of an entry-level business model. This business model focuses on hunting for goods at lower prices or collector's editions of goods in brick-and-mortar retail stores and selling them online at a higher price than initially purchased.

The business model allows sellers to benefit from panic buyers and products in high demand by bulk buying items at a reduced price and raising the cost to sell on Amazon.

The simple concept behind retail arbitrage is easy enough to be repeated long enough to create a significant source of revenue while actively building up an inventory and discovering which product lines provide the most sales opportunities.

In order to calculate your profit from this business model, the retailer must calculate the price at which the goods were bought and sold and deduct the standard Amazon fee. Whatever is left can be counted as profit.

Before posting a price for a particular item, it is also important to note. The retailer should investigate the price at which the item was valued by the same market competitors. This is to help sell the item quickly, as an overpriced item is often bad for business.

Pros of retail arbitrage

As one of the simplest and cheapest Amazon retail business

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models, retail arbitrage has many advantages as a business model.

- **Budget independence:** retail arbitrage allows retailers to dictate how much they would spend on buying products and running the business model as a whole. This is especially great for those with low income or a tight budget, as it allows them to start a business with as much money as they can spare.

  According to studies, 49% of retail arbitrage sellers start selling on Amazon for less than $1,000.

- **Easy growth:** besides the independence of budget, the retail arbitrage business model also creates a simple and efficient way for the new business owner to grow their business. This is because You get to maintain complete control over your inventory regarding the quality of your products, allowing you to quickly determine reasonable prices and make sure you buy the right volume of stock.

  There are several methods to generate an inventory that doesn't require a significant investment but is still of high value, such as visiting stores due to close down or those with regular sales to reduce their stock.

  According to a study, 41% of retail arbitrage sellers claim that it takes six weeks or fewer to get started selling, making it one of the fastest Amazon business models when it comes to getting up and running.

- **Easy business governance:** AN often overlooked advantage of the retail arbitrage business model is the ease of making business decisions. A business owner can easily change tactics and goods, as it is as easy as implementing any preconceived ideas or notions. For

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example, changing the goods sold is as easy as changing the goods bought and has no additional process that complicates the change

Cons of retail arbitrage

Although it is one of the most popular and cheapest business models, the retail arbitrage business model also has some disadvantages.

- **Low profit and gains:** although the retail arbitrage business model offers an exceptional level of ease and affordability, the business model struggles in profit-making. This business model is not advisable for those hoping to generate a large amount of revenue within a short period of time.

  According to studies, 62% of retail arbitrage sellers earn less than $5,000 per month on Amazon, and 25% make less than $500. 48% of all retailers using this business model have a profit margin of less than 20% on their products.

- **Time-consuming:** aside from turning out less than stellar profits, the retail arbitrage business model also consumes a lot of time as it requires a lot of product and customer research as well as driving around in search of goods.

  According to a study, 60% of retail arbitrage sellers spend up to 20 hours per week working on their business, and 25% spend less than four hours each week. That includes looking for products, building listings, and shipping goods.

  Besides researching and looking for goods, retailers also spend a lot of time monitoring and managing expenses, revenue, and other financial metrics. They

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also spend time finding a supplier and optimizing product listings.

If you have a full-time job and are looking for an Amazon business model to act as a secondary form of passive income, there may be other viable options

Online arbitrage

With e-commerce quickly becoming the preferred method of shopping in the world, online arbitrage stands to leverage its popularity to turn a profit.

This business model involves scouring the internet, buying reduced or cheap products from e-commerce marketplaces, and selling them for a higher price on Amazon.

Like in retail arbitrage, the profits online arbitrage sellers on Amazon earn are the difference between the price they can sell the product minus Amazon's fees and the product's original cost.

The business, however, is more superficial than retail arbitrage as it eliminates the need for drivers to drive around to brick-and-mortar stores and allows retailers to directly compare the prices of goods on Amazon before buying them.

This Amazon business model allows the retailer to work remotely and flexibly while leveraging the endless supply of e-commerce sites that emerge daily.

Besides the e-commerce advantage on the online arbitrage side, there is little to no difference in its pros and cons compared to retail arbitrage, except for increased convenience and more straightforward research methods.

Wholesale

This business model entails retailers purchasing low-cost or

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discounted bulk quantities of goods from suppliers and reselling them on Amazon at a higher price.

More often than not, wholesale products already have listings created on Amazon. This business model allows retailers and third-party markets to buy high-valued goods cheaply from suppliers as they are purchased in bulk. This then translates to a higher profit margin in every retailer's sales.

However, this business model requires deep research for individuals who are new to it. This is because there is a minimum order you have to place with suppliers. New retailers will need to do plenty of deep research into sales history and customer preferences to understand the demand for each product they consider stocking.

Pros of wholesale

The wholesale business model has a lot of advantages under its belt. It is one of the most stable business models.

- **Steady growth and safe experimentation:** one of the most attractive features of the wholesale business model is the prospect of guaranteed and steady business growth.

  Once a retailer has researched and chosen the goods they want to sell, they can stick to that one product and gain a reasonable profit as they slowly branch out and experiment with new interests.

  According to a study, 61% of wholesalers earn more than $5,000 a month selling on Amazon. 58% of wholesalers have profit margins of less than 20%.

- **Easy to run:** the wholesale business model is also relatively easy. This is because, after the appropriate

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research and findings, the retailers can keep ordering the selected smaller number of profitable products in bulk rather than dedicating hours to stock management and replenishment for a range of individual products.

Cons of wholesale

Although the wholesale business model is one of the most stable and has a large profit margin, the business model also has some disadvantages to its adoption.

- **Extensive research:** rushing into the wholesale business model is a surefire way to rack up a loss and debt. The business model requires extensive research on the products of interest and how they affect customer preferences and needs.

  According to research, nearly half of wholesalers (49%) spend over 20 hours on their businesses each week, and 18% spend over 40 hours each week.

  This research is not only essential, but also a necessity for the business to run smoothly.

- **Expensive to set up:** due to its nature, the wholesale business model requires a large sum of money for initial investment. This, however, may turn out to be a huge success and garner good profit or be a spectacular loss right out the bat or down the line due to a lack of experience or resources. This loss may also lead to debt if not managed well. This is why, before investing, the retailer must extensively research the product they intend to buy.

  According to a study, 47% of wholesalers spent less than $2,500 to get started selling on Amazon.

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Private label

This business model is most suitable for popular businesses or brands. The private label business model leverages the reputation and popularity of a business or brand.

The business model involves purchasing, rebranding, and repackaging unbranded manufactured goods from a separate manufacturer. The rebranded goods are then sold at a higher price by the businesses as their own.

As most retailers have to build their reputation from scratch, this business model requires a basic understanding of branding, marketing, and optimization if a retailer wants to build a brand reputation and a name for themselves.

The success of a business depends entirely on its reputation. It also eliminates the risk of the effect of other businesses' strategies and reputations on the retailer's business. However, this is a double-edged blade, as the retailer can not rely on other businesses' images to help increase sales or profits.

Jungle Scout's 2021 Amazon seller survey shows this is the most popular Amazon business model, with 67% of sellers saying they used this method to sell on the platform. Often considered the most expensive, according to the same study, On average, 61% of private-label sellers spend $2,500 or more to get started.

However, the profits are worth the amount of money spent on investment. With 56% of private label sellers making $5,000 or more in monthly sales and 35% of private label sellers realizing a profit within the first six months of selling on Amazon,

The business model is relatively slower than other Amazon business models, with 48% of private label sellers having their

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businesses up and running in three months or less.

However, it takes about the same amount of time or less to run as most Amazon business models, with 58% of private label sellers spending less than 20 hours per week on their business and 15% of private label sellers spending less than four hours.

Even Amazon has its own private-label products named Amazon Essentials and AmazonBasics.

Drop-shipping

This business model is preferable for business owners who prefer using Amazon as a passive income source. This model exonerates the retailer entirely from the stress of managing inventory, packaging, and shipping products. This is done by connecting the customer to a manufacturer or producer. Once a consumer has bought a product from you, it is passed onto the supplier, who drop-ship it to the customer on your behalf.

In drop-shipping, the retailer has no control over the quality of the goods, as they never handle the goods. Hence, they must research to ensure that the supplier is trustworthy and reliable.

Compared to other business models, it's relatively cheap to run and quick to set up, making it a great success for those looking for hassle-free Amazon selling.

The business, however, can also cost the retailer money in terms of refunds when the supplier delivers products of poor quality or does not inform the retailer about out-of-stock products.

Handmade

This is the most exhausting of business models, as it involves

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the retailer making the products themselves. These products may include jewelry, accessories, home decor, and more.

By creating their own products, the retailer is in absolute control over the quality of the goods and can effectively calculate their profit by calculating how much was spent creating the goods and deducting it from how much they were sold and the standard Amazon fee.

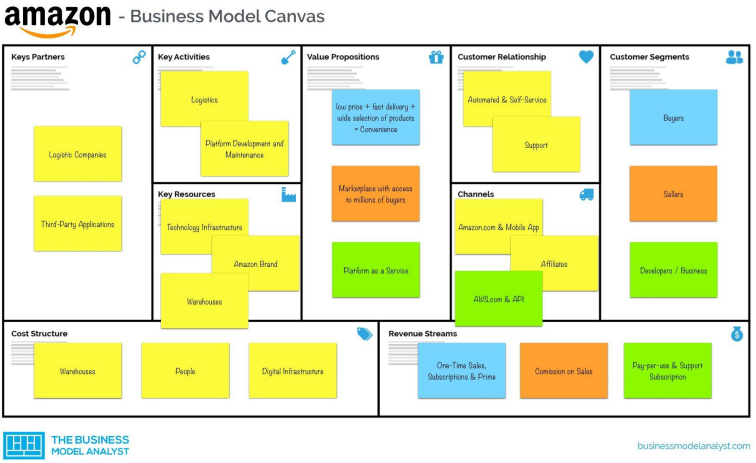
However, this is not the most popular business as many retailers need more skills, time, workspace, and others to create their products, hence the mode is often wildly overlooked. It is also time-consuming and tasking, which adds to its displeasure.

However, it is a lucrative business model as the retailer can effectively manage the business budget. It is also a highly profitable business model, although it is relatively slow.

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AMAZON'S BUSINESS MODEL CANVAS

The Amazon Business Model can be seen in the business model canvas below:



AMAZON'S CUSTOMER SEGMENTS

The customer segments of Amazon can be divided into three separate groups: sellers, buyers, and developers.

Sellers:
This comprises all the businesses, individuals, and companies that sell their goods to the company's large customer base.

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Developers
This comprises all the communities, companies, and businesses that use Amazon's cloud computing platform, Amazon Web Services (AWS). These communities, firms, and companies come from every industry or field and from every size, which includes startups, enterprises, and public sector organizations.

Buyers
This comprises all the millions of loyal customers who buy their goods from Amazon.

These customers are tracked by Amazon using some characteristics, such as interest, engagement, and personal information (age, gender, geographical space, language, etc.).

AMAZON'S VALUE PROPOSITIONS

Amazon's Jeff Bezos defined the Amazon business model based on three customer-focused value propositions: low price, fast delivery, and a wide selection of products.

These three value propositions have helped Amazon become one of the world's largest and most visited e-commerce marketplaces. This is no surprise, as the three value propositions come together to create convenience for the customer, a much-sorted feature in modern-day e-commerce.

Customers worldwide can be assured of a reasonable price, numerous options, and an agile, safe, and reliable delivery service.

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"I very frequently get the question: What's going to change in the next 10 years?" And that's a very interesting question; it's a very common one. I almost never get the question: What's not going to change in the next 10 years? And I submit to you that that second question is actually the more important of the two because you can build a business strategy around things that are stable in time.

In our retail business, we know that customers want low prices, and I know that's going to be true 10 years from now. They want fast delivery; they want a vast selection. It's impossible to imagine a future 10 years from now where a customer comes up and says, "Jeff, I love Amazon. I just wish the prices were a little higher. I love Amazon; I just wish you'd deliver a little more slowly.' Impossible. And so the effort we put into those things, spinning those things up, we know the energy we put into it today will still be paying off dividends for our customers 10 years from now. When you have something that you know is true, even over the long term, you can afford to put a lot of energy into it. "

Jeff Bezos.

While there are other value propositions, we will be focusing on these as they are the cornerstone of the company's business model.

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Low Price

The Amazon business model focuses heavily on the lowest possible prices for buyers. This is done through the use of Amazon's automated pricing. This system works by constantly adjusting the cost of goods. These changes often depend on competitor prices, demand and supply, and market trends. Hence, it ensures that the price of goods is always in the buyers' favor.

Fast Delivery

Amazon has built quite a reputation for itself in the shipping department. The technological company facilitates hundreds of thousands of fast and safe deliveries and shipping around the globe to ensure the ordered product arrives at the doorstep or pickup point of its intended customers.

This is thanks to its network of warehouses and external shipping and delivery services, which the company uses to deliver goods worldwide.

Amazon also introduced free shipping as a feature for subscriptions to the Amazon Prime package. This feature improves on an already impressive feat, as it brings in more customers and revenue because it's free. This free shipping is only bound to bring in more customers as the company expands its arsenal of goods.

Large choice of Products

Amazon has come a long way from its humble beginnings of selling only books. Today, the company caters to the needs of millions of customers as "the everything store" has diversified and added almost every conceivable good to its library.

The company continues to expand its options and goods to try and meet the needs of every customer who visits the online store.

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It also arranges these goods in an easy-to-navigate manner to increase customers' convenience as they shop.

Also, innovations like Amazon Kindle Direct Publishing for books; audible for audiobooks; Amazon Music for music and podcasts; and Amazon Prime for movies and videos increase the organization of goods and, as such, increase the convenience of the customer.

AMAZON'S CHANNELS

As expected of an e-commerce business, Amazon's biggest channel is its e-commerce website, generating about $470 billion in 2021. However, the technological giant has other successful channels like Amazon Prime, its streaming, entertainment, and subscription platform, which garnered a net income of over $11.79 billion in 2021, with over 200 million users across 23 countries worldwide.

They also have their own cloud processing company, Amazon Web Services (AWS), which in 2021 generated revenues of 62.2 billion U.S. dollars. The company also has other subsidiary channels like Kindle Direct Publishing, Amazon Music, audible, and so on.

As an online market, most of Amazon's marketing is done digitally, including advertisements, sponsored publications, and email marketing. This online market is expected to cost approximately $32.6 billion by 2021.

AMAZON'S CUSTOMER RELATIONSHIPS

As a customer-focused company, Amazon takes the

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customers' comments, suggestions, and opinions as seriously as possible. The company aims to create a healthy and long-lasting relationship with its customers.

In order to facilitate this relationship, Amazon maintains several communication channels to allow the customer's views to be heard. Some of such channels are telephone, online chat, and e-mail contact. They also allow customers to leave reviews or comments on the website and have been known to reply relatively quickly.

They also allow customers to leave reviews on purchased goods to help other buyers make smarter decisions. Some guidelines guide Amazon's reviews to ensure the reviews posted are useful and instrumental to the product's ranking. It also encourages reviews through its early reviewer system and allows users to vote for the most valuable reviews. Estimates of the number of fake reviews range from 1%, according to Amazon, vs. 30% stated by fake review detection sites (both of which have an incentive to over or understate the problem)

Lastly, using features like "Recommended for you," "Frequently bought," "Your recently viewed items and featured recommendations," "Your browsing history," "related to items you viewed," "Best selling," and "Off-site recommendations via email." Amazon has made the customer experience much more personalized.

AMAZON'S REVENUE STREAMS

Amazon is a company with numerous and diverse revenue streams. Some of these revenue streams are:

- **One-Time Sales**: This is the revenue generated from the sale of products that are delivered only once, but

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not over a period of time.;

- **Physical store:** Amazon owns a few physical stores that sell goods to customers. This store also generates revenue for the company;
- **Commission on Sales/ Retail third-party seller Services:** This is the revenue gotten from the commission taken off of goods sold on the platform;
- **Advertising:** The Amazon website is very popular, and as such, the company can leverage this and charge for advertising products for other companies on it;
- **Subscriptions (Amazon Prime):** The company also charges a specific amount for Amazon Prime on a subscription-based payment method.

  Amazon Prime gives customers access to a host of fantastic Amazon products and services, like Amazon Prime Video (the streaming service) and free shipping.

Others include: Web Services (AWS), Licenses, Patents, and Pay-Per-Use & Support Subscriptions.

When put into segments, Amazon's revenue generated in 2021 can be divided into the following streams:

- **Online stores:** $222.1 billion
- **Physical stores:** $17.1 billion
- **Retail third-party seller Services:** $103.4 billion
- **Subscription services:** $31.8 billion
- **AWS:** $62.2 billion
- **Other:** $2.18 billion

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AMAZON'S KEY RESOURCES

Amazon's most significant resource is its technological infrastructure, which must be kept secure and functioning for the company to run smoothly. This technological infrastructure consists of its websites and apps (such as Amazon Prime Video, Kindle/KDP Audible, AWS, etc.), including all the backends to them (including the logistics IT backend).

An example of a loss created by the infrastructure crash was back in 2013; Amazon was down for about 40 minutes, resulting in a loss of more than US$ 5 million in sales.

Another Amazon resource is the company's delivery and fulfillment network. This network comprises all the methods and parts involved in transporting goods and producers from the manufacturer or retailer to the customers who ordered them.

This is one of Amazon's most significant resources, after considering its technological infrastructure. This is because the business model depends massively on the timely delivery of goods.

Depending on the goods and customer location, there are different delivery paths through the system. These pathways include:

1. Inbound cross-doc center;
2. Airport hub;
3. Fulfillment centers (with various subtypes / those storing certain types of goods);

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4. Sortation centers;
5. Delivery stations;
6. Prime now hubs;
7. Amazon Fresh (which also has a pick-up option);
8. Brick-and-mortar retail.

As of August 2022, Amazon has made a significant impression on the world of delivery with 1200 facilities in the U.S. and 2200 across the globe, making this one of its most enormous resources.

The next resource would be the brand name, which now works on its own as an advertisement for the company itself.

Physical spaces used for warehouses, offices, supply chain structures, and automation, among other things, are another resource that the company cannot function without.

AMAZON'S KEY ACTIVITIES

One of the essential key activities of the company is to improve its value propositions. This means the company is constantly and consciously focused on creating a better experience for the customer, focusing mainly on maintaining low prices, improving the speed of deliveries, and widening the scope of its extensive product inventory.

To achieve its goal, the company invests in its website, app development, and management. While simultaneously managing its entire supply chain, storage, and logistics and improving the information security on all platforms (including

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e-commerce, streaming, cloud computing, etc.),

The company also focuses on producing films, series, and other products for its video platform and on marketing all of its products and services.

The company also manages its low prices through a pricing strategy known as dynamic pricing or repricing. Amazon's prices are affected by various factors, such as competitor prices, demand and supply, and market trends.

These low prices of goods are also complemented by the low delivery costs. This is thanks to features like free shipping that are paid for through a subscription to Amazon Prime.

The company also offers the following services in order to maintain its low prices:

1. Price dynamism: This is a pricing strategy in which businesses set flexible prices for products or services based on current market demands.

2. Price perception strategy: this is the practice of downplaying the value of high-end products rather than treating them as if they are unique. This type of psychology could work because of price perception, which is how consumers interpret the cost of things despite the price tag that might be attached to the products.

Others include:

- Demand/supply pricing;
- Competition monitoring;
- Seasonal prices;
- Dynamic pricing for marketplace

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bundling/recommendations;

- Deals/promotions;
- Data network effects; and
- Deceptive pricing.

AMAZON'S KEY PARTNERS

A massively successful company like Amazon is bound to have a lot of key partners who work with the company to ensure it works perfectly.

Amazon's key partners consist of:

Sellers
Sellers are by far one of the largest and most essential partners of Amazon. They are made up of companies, individuals, businesses, and groups that sell their goods and services through the company's e-commerce platform.

They make up about half of the company's revenue. There are roughly 8 billion sellers worldwide using the Amazon platform.

These sellers extend from small retailers to large brands like Nike, Apple, Dell, etc., who have a presence on Amazon.

Affiliates
This section of customers consists of content creators, bloggers, and other individuals and groups who gain a commission for directing traffic or customers to the Amazon platform to purchase goods and products.

According to ZipRecruiter, the national average salary for an Amazon affiliate is $55,434 per year. The top 1% of earners

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make between $111,500 and $121,000, while the lowest 10% earn between $16,500 and $26,000.

Developers
This section comprises the developers and integrators who specialize in AWS services and the tens of thousands of independent software vendors (ISVs) who adapt their technology to work on AWS. This section of partners is mostly partners with Amazon's AWS.

Content creators
This consists of authors, writers, artists, and movie producers who publish or release their creations on Amazon Kindle Direct Publishing, Audible, Amazon Music, and Amazon Prime.

Subsidiaries
These types of partners include companies that provide storage spaces, stores, and systems. As well as transportation and delivery systems, in addition to the brands and products developed by Amazon itself, such as Amazon Essentials, Amazon Elements, Amazon Elements, Kindle, Alexa, etc

Although the company in-sources some of these jobs, due to the overwhelming demand for goods, the company is forced to rely on these partners to ensure the smooth running of operations.

AMAZON'S COST STRUCTURE

Amazon is a behemoth of a company and assumes a cost structure that does not differ from any you would expect from a company of its size.

The company's cost structure consists of cost items such as

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its complete IT structure, customer service center, software development and maintenance, information security, and marketing.

Physical spaces, such as fulfillment centers, sortation centers, and delivery stations, also contributed to the total cost structure of the company.

Below, there is a rough estimate of the company's cost structure:

- Cost of sales: 58%
- Fulfillment: 16%
- Technology & content: 12%
- Marketing: 7%
- G&A: 1.8%

As expected, its biggest cost item is its cost of sales, with approximately 58% of its revenue. This is because this covers the cost of 3rd party or retail sales and is the company's largest resource and, as such, its largest cost item.

HOW DOES AMAZON'S BUSINESS WORK?

Amazon is a giant marketplace that runs a platform business model at its core. The company runs this business model with other separate units or companies all under the same

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umbrella. Some of these units tie in well with the e-commerce platform, such as Amazon Prime, which is a paid subscription-based feature that allows the customer to enjoy the premium version of the e-commerce platform as well as rewards like free shipping and access to other Amazon units like Amazon Prime, the video streaming unit, and Amazon Music, the music and audio streaming unit.

Other units, like Amazon AWS, focus on the technological aspect of the company. This unit focuses on improving the technological infrastructure of the company.

According to Similar Web, Amazon has over 2 billion visits in the U.S. On average, those people spend more than six minutes on the site and look at almost nine pages before purchasing what they're looking for. These products may range from popular books to hard-to-find collectibles. "The Everything Store" aims to cater to the needs of all.

This, in turn, makes Amazon the fourth most popular website in the U.S. The Amazon business model revolves around four major players:

CONSUMERS

Consumers are the company's number one focus, as its entire business model revolves around increasing the convenience of consumers.

This was summed up nicely by the company in its annual reports. Amazon stated,

"*We serve consumers through our retail websites and focus on selection, price, and convenience. We design our websites to enable hundreds of millions of unique products to be sold by us and by third parties across dozens of*

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product categories. Customers access our websites directly and through our mobile websites and apps. We also manufacture and sell electronic devices, including Kindle e-readers, Fire tablets, Fire TVs, and Echo, and we develop and produce media content. We strive to offer our customers the lowest prices possible through everyday product pricing and shipping offers, and to improve our operating efficiencies so that we can continue to lower prices for our customers. We also provide easy-to-use functionality, fast and reliable fulfillment, and timely customer service. In addition, we offer Amazon Prime, an annual membership program that includes unlimited free shipping on tens of millions of items, access to unlimited instant streaming of thousands of movies and TV episodes, and other benefits."

SELLERS

Sellers also stand as a strong pillar for the company and its business model, as they provide its most significant source of revenue and are the driving force behind the e-commerce platform.

The company stated this in its annual report about sellers:

"*We offer programs that enable sellers to grow their businesses, sell their products on our websites and on their own branded websites, and fulfill orders through us. We are not the seller of record in these transactions. We earn fixed fees, a percentage of sales, per-unit activity fees, interest, or some combination thereof, for our seller programs.*"

DEVELOPERS AND ENTERPRISES

This comprises developers, programmers, and enterprises such as start-ups, government agencies, and academic

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institutions. These groups and individuals are the backbones of Amazon's technologically advanced cloud computing system, AWS.

The company explained its role in its annual report by stating:

"*We serve developers and enterprises of all sizes, including start-ups, government agencies, and academic institutions, through our AWS segment, which offers a broad set of global compute, storage, database, and other service offerings.*"

CONTENT CREATORS

This consists of authors and independent writers willing to publish their works on Amazon's Kindle Direct Publishing. The company also has separate platforms for musicians and movie producers to release their products for the public to patronize.

In the annual news report, the company had this to say about this pillar of the company's business model:

This consists of authors and independent writers willing to publish their works on Amazon's Kindle Direct Publishing. The company also has separate platforms for musicians and movie producers to release their products for the public to patronize.

In the annual news report, the company had this to say about this pillar of the company's business model:

"*We serve authors and independent publishers with Kindle Direct Publishing, an online service that lets independent authors and publishers choose a 70% royalty option and make their books available in the Kindle Store, along with Amazon's own publishing arm, Amazon Publishing. We also*

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offer programs that allow authors, musicians, filmmakers, app developers, and others to publish and sell content."

For the Amazon business model to live up to its value, the company has to generate a significant amount of revenue from the business model. This is accomplished through the sale of its vast array of goods available on its e-commerce marketplace.

Besides the marketplace, customers also have access to Amazon products (like Kindle and Echo) or the ability to subscribe to Prime (to get faster delivery and access to an on-demand library of content).

The company can also generate revenue from the Amazon seller program. The company generates revenue through fixed fees, a percentage of sales, per-unit activity fees, and interest generated by the marketplace.

Lastly, the company earns 30% of royalties paid to Authors who publish their works through Amazon's KDP platform (i.e. Kindle Direct Publishing)

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HOW AMAZON MAKES MONEY

To understand how Amazon makes money, we need to look at each of the different operations that take place under the company's extensive corporate umbrella. These operations include the Amazon Marketplace, Amazon Prime, Amazon Web Services, Amazon Advertising, Amazon Patents, and Amazon Kindle.

Amazon is one of the largest online marketplaces in the world. In the U.S., the company is bigger than the next 14 largest U.S. retailers combined.

However, this behemoth of a company is run by more than just its online store. Although it is the biggest revenue generator, the company is backed up by many other business segments, which work in tandem to achieve the business goal.

According to Matthew Ball, managing partner of Epyllion and former global head of strategy at Amazon Studios, it can be described as "a series of interconnected elements that are internally reinforcing and competitively exclusionary." This means that an improvement in one of the business segments, however minor, ultimately translates to a general improvement in the company's overall business.

This diversification of Amazon’s revenue streams has been key to its virtuous cycle, mainly as the company uses its various business divisions to support and drive growth for

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other divisions. The corporate powerhouse spans multiple industries, moving well beyond retail e-commerce and firmly into spaces such as cloud computing, online advertising, and digital payments.

Below are the segments of Amazon's business model that generate revenue for the company.

Amazon Marketplace
Through fees garnered from the promotion and advertisement for goods, as well as sales of products on the company's e-commerce platform, Amazon.com, this sector accounts for more than 50% of the total income.

These sales include both physical and digital products (including e-books, videos, games, music, and software). Amazon's success and stronghold on customers rely on the convenience and ease it provides customers as they browse through its vast array of options for goods. The company's most significant areas of potential is found in the use of Amazon for discovery, inspiration, and impulse purchases.

The revenue generated is directly related to the number of sellers on the company's e-commerce platform, with about 8 million businesses trading on the Amazon e-commerce platform. The marketplace is easily the largest source of revenue for the company

Online store sales, as the dominant revenue stream, saw $66.08 billion in net sales as of the fourth quarter of 2020. Including commissions, shipping fees, related fulfillment fees, and other third-party seller services, third-party sellers in the third quarter of 2020 brought in $30.32 billion in net sales.

According to the Q4 2021 earnings report, more than 130,000 third-party sellers worldwide surpassed $100,000 in sales on Amazon between Black Friday and Christmas Day. U.S.-based

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third-party sellers also smashed records, selling an average of 11,500 products per minute.

Besides the online marketplace, Amazon also runs 600 physical stores in the U.S., including Whole Foods Market, which Amazon acquired in 2017. The rest are Amazon-branded stores, including Amazon Fresh (grocery), Amazon Go (cashier-less convenience stores), Amazon 4-star (featuring products with a four-star rating or higher on Amazon.com), Amazon Books (carrying books and electronics), and Amazon Pop Up (shopping center locations that highlight various brands and trends).

In 2020, Amazon's physical stores pulled in a total of $4.69 billion in net sales. Although this number is relatively small compared with the company's online marketplace, the physical market serves as a discovery platform for the products and services available through Amazon, in-store or online.

Amazon Prime
This Amazon subscription-based business model offers subscribers access to the platform's video and music streaming catalogs, free two-day shipping, unlimited photo storage, etc. in exchange for a monthly fee.

This business model has been instrumental in the company's growth. It not only lures new customers with exciting content and movies, but also leads them into the marketplace with the lure of free shipping. Essentially boosting its revenue and the marketplaces.

Amazon Web Services
Although not a huge source of revenue, Amazon's AWS provides the company with significant revenue. In 2020, it generated $17.78 billion in revenue.

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This is done by providing companies with relatively cheap on-demand services like computing, storage, networking, security, databases, etc., which are accessible through the internet across the globe, and the user is not required to manage or monitor these resources.

It is one of the most comprehensive and broadly adopted cloud platforms, offering over 200 fully featured services from data centers in 26 countries globally.

Amazon Kindle
This platform not only allows authors and independent writers to publish their books for 70% of their royalties. It also allows customers to buy, browse, download, and read published books, magazines, and newspaper articles available at the Kindle store.

This e-reading marketplace generates little revenue, but compensates by redirecting customers to the Amazon Prime subscription. This raises the revenue generated by the marketplace.

Amazon Patents
The company has about 24,355 patents globally. These patents belong to 12,104 unique patent families. Out of 24,355 patents, 11,313 patents are active.

These patents are used by many technological giants like IBM, Microsoft, Google, Samsung, Apple, eBay, Intel, Sony, Walmart, PayPal, Sap, Se, AT&T, Cisco Technology Inc., Qualcomm, and Hewlett Packard. In order to use these patents, the company must pay a fee to Amazon.

The company's patents are made under the name Amazon Technologies Inc. Many of Amazon's patents are for highly technical concepts in cloud computing or communication

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between computers.

Amazon Advertising
Amazon's advertising company gains revenue by promoting sponsored ads and videos for individuals, companies, and enterprises. However, the company is only paid when customers click on the ad of the seller, regardless of whether the product is bought.

This marketing channel is highly effective as the people who direct the sponsored ads and videos are already on an e-commerce platform with the intention of purchasing something.

It is the 3rd largest digital advertising company, behind Google and Facebook. In 2021, Amazon's advertisements brought in $31 billion in revenue for the company.

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AMAZON'S REVENUE MODEL

Amazon's highest revenue generator is the sale of products. However, those product sales also have high costs. Thus, the margins Amazon makes on them are thin.

Taking into account the company's operating income, one would quickly notice that the operating income is fueled by the company's services, which comprise seller services, AWS, and subscription services.

It is a popular misconception that Amazon is a product company. However, Amazon sells its products at a thin margin (in fact, the cost of sales for Amazon is almost as high as the revenue generated by its products).

This is because Amazon uses its products to ramp up its service revenues, which is its true source of cash flow. This means that although Amazon sells products at a thin profit margin, the company uses its product sales to sell other services it provides to essentially create more revenue for itself.

Other parts of the Amazon business model, like Amazon Advertising Services, Amazon Prime, and Amazon AWS, run with much higher margins. Thus, Amazon's online stores are the foundation for those other businesses that make the company more profitable in the long run.

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AMAZON'S CASH MACHINE

This is the cornerstone of Amazon's ability to expand rapidly and compete with other industries.

It is a crucial element of Amazon's business model. As stated before, Amazon's online store functions on a tight profit margin. This is not done due to oversight or bad planning, but rather consciously to facilitate optimum convince for customers when coupled with its fast delivery system, called fulfillment systems.

This, however, creates the facade that Amazon does not have a viable cash flow, since Amazon collects payments from buyers quickly but pays its vendors with significantly longer payment terms.

This system provides Amazon with short-term liquidity that can be used to invest in different company sections. So, what initially looked like a lousy cash flow is actually a viable cash flow that allows the company to invest in and build other parts of the company. This directly increases the company's progress and ability to disrupt other companies in any industry.

With the creation of the two-sided marketplace, the company can increase the rate at which other sectors grow, and as stated before, an improvement in one sector is progress for the overall company, no matter how minor it may be.

So, through the Amazon cash machine system, the company has access to an endless supply of short-term liquidity. As such, the limitations to the other sectors' growth are the company's imagination.

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AMAZON'S ADVERTISING BUSINESS

Amazon is the 3rd largest digital advertising company in the world, behind Google and Facebook. At the same time, Amazon more than doubled its advertising revenues from the first nine months of 2017 compared to 2018. Indeed, revenue went from $2.92 billion in 2018 to $6.72 billion in 2018, compared to Facebook's $38.37 billion and Google's $83.68 billion.

The growth of the company's advertising company can be traced back to the sheer number of retailers and entrepreneurs who use e-commerce. This number is expected to keep growing, and the advertising company will continue growing because marketers are willing to pay for Amazon's advertising services.

This section of the business has higher margins than online stores' tight margins.

This growth intensified as Amazon's advertising revenues reached over $30 billion in 2021. This was partially due to the technological giant's ability to capture commercially relevant traffic and funnel them to their accurate vendor, and also due to the company's intensified effort to make sponsored content available on its platforms

As of 2022, Amazon had successfully expanded the availability of its sponsored content to its platform, paving the way for unprecedented growth in the digital advertising sector in the near future.

AMAZON PRIME

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A mark of a good company is adaptability, with many companies switching to subscription-based payments and most customers preferring it. Amazon has also moved a portion of this company to the subscription-based payment system.

The inclusion of Amazon Prime into the company's arsenal was a pivotal moment for the company. The logic behind this new feature was the more people join the Prime Memberships, the more products they purchase in the online stores.

This was done by luring customers in with faster delivery services and delivery services, as well as access to Amazon's original content offered via streaming. This subscription model also creates a more stable and predictable income over time. As such, the company killed multiple birds with one stone as the lure of the prime package caused an influx of customers and, as such, growth in other sectors like online sales and advertising.

As of 2021, Amazon has over 200 million Prime subscribers. 147 million are based in the U.S. Amazon Prime Video counted more than 175 million unique viewers in 2021, and Amazon recently acquired MGM Studios for $8.4 billion, adding more exclusive movies to the platform.

AMAZON AWS

Initially an experiment back in 2000, Amazon AWS became an over-17 billion-dollar business in 2017.

AWS has also enjoyed higher profit margins and network effects. Despite this, the company is focusing on this sector

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and putting in more resources as it is the most likely future of the company.

Thanks to AWS, Amazon has worked in cooperative competition with many companies that utilize AWS. For example, the Netflix streaming platform has been among the primary customers of Amazon AWS cloud infrastructure, while Amazon Prime has been among the competitors of the Netflix Prime content platform.

The AWS sector has managed to keep a high-profit margin over the last year. Still, as technology advances and competition toward cloud computing gets more challenging, and as AI gets commoditized, a margin decrease is expected.

Like all the other cloud players, AWS is working as the underlying infrastructure for the Web and as the underlying platform for the AI-powered Web, popularly known as the Metaverse.

And as the years go by and the future grows nearer, Amazon has positioned itself to dominate both the physical and virtual business worlds.

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THE AMAZON FBA BUSINESS MODEL

The Amazon FBA Business Model is a streamlined way of handling commerce.

As a seller, you must get a supplier (most of whom are located in China) to provide the products and transport them to the Amazon Warehouse. Amazon then handles storage, shipping, customer service, and tracking.

The business model removes the added cost and hassle of storage and logistics. Although it would require some upfront capital, the model provides a higher level of ease, exposure, and profit in the long run.

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WHAT IS FBA?

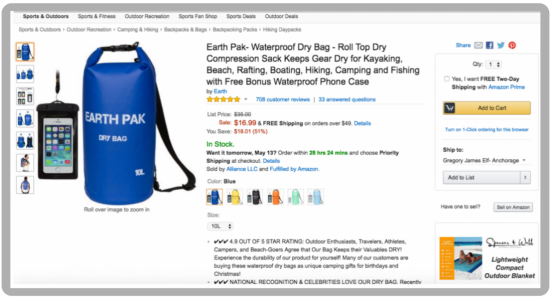
FBA means "Fulfilled By Amazon." It is a business solution that exploits Amazon's resources, giving online sellers the freedom to make money without raising capital for storage and handling.

It smooths out the backend processes for the seller and the frontend processes for the buyer. When purchasing from Amazon, most buyers would be unaware that they are buying from a third-party seller.

FBA is every online seller's fairy godmother.

EXAMPLES OF AMAZON FBA LISTINGS

For a complete mental picture, here is an example of what an Amazon FBA listing would look like:



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HOW DOES AMAZON FBA WORK

The Amazon FBA model works through a process containing five critical steps, works by piggybacking off Amazon's site authority. By using tools (like The Hoth or Ahrefs) and maximizing the keywords in your listing, you can build backlinks to your site and boost your sales without getting penalized.

Benefit from Amazon Prime

One of the best ways to boost sales is through free shipping. Amazon Prime is a program that awards users free shipping on their purchases, ultimately saving them money. Using the Amazon platform, you also get free shipping on your products.

Benefit from Amazon Affiliates

Once your products are listed, Amazon affiliates drive traffic to your listing and promote your products in the pursuit of affiliate commissions. This comes at no cost or effort from you. Everybody wins with Amazon affiliates.

Not limited to listing on Amazon

You can sell your products and secure your income through multiple channels. You don't have to sell exclusively on Amazon. Amazon FBA allows sellers to have their products listed elsewhere, even in their own online store, if they have one.

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THE CONS OF THE AMAZON FBA MODEL

Now we talk about the downsides, AKA the cons of the Amazon FBA model. If there were none, the FBA model would have been too good to be true.

Upfront capital
You must raise upfront capital before launching a business using the Amazon FBA model. Then, as time passes, you would also need to reinvest to continue the business. The upfront capital takes care of the supply of the initial stock. At the same time, the reinvestment handles the continuing supply and restocking.

Choosing a supplier
The next hurdle to face is choosing a good supplier. Most suppliers are located in China. The distance necessitates remote communication, quality checks, and trial runs. You might not immediately find a good supplier. Even when you do, you have to cater to the problem of proper shipping logistics to get the products to the Amazon warehouse.

Dealing with suppliers
You cannot bank on the reliability of a supplier a hundred percent. Moreover, certain situations might arise that you would have no control over.

For example, in the event of a demand surge, you cannot know if your supplier will be able to keep up. Apart from this,

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your supplier could suddenly change how they do business and switch up their policies, creating gaps and delays in your product supply.

A workaround would be to have alternative suppliers in place in the case of any unforeseen hiccups.

Amazon only promotes successful products
Before you can benefit from Amazon's promotion algorithms, you will need to do some work.
The Amazon algorithm promotes products that are already gaining traction and selling well. This begets the need for you to jumpstart your page traffic before you can use Amazon's exposure.

Reliant on Amazon
Another downside of using the Amazon FBA model is that the platform still belongs to Amazon. Therefore, you are subject to whatever (lawful) decision they make regarding the Amazon FBA, Amazon Prime, and even your product. Your sales could suffer significant hits, and you would have no opportunity for redress.

Own online store could be more profitable
\While Amazon FBA promises higher profit margins than its counterparts, owning your online store could ultimately make you more money.
You might have to work harder to create momentum for your business, and you might also have to gather higher capital, especially in the beginning. Over time, however, those margins can peak higher than they would under the FBA model.

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WHAT BUYER PERSONA BEST FITS THE AMAZON FBA BUSINESS MODEL?

There are specific personas that fit the Amazon FBA business model and would greatly benefit from it.

Portfolio Paul
Someone like Portfolio Paul has numerous income streams. Because of the variety in his portfolio, he will jump at possible assets that give him the luxury of his time.
The Amazon FBA model is primarily stress-free and can be made even more so by hiring agencies that handle everything involved. If you're like Portfolio Paul, you can create space for yourself and time on your hands, while still diversifying. The FBA model is suited to that.

DIY Dave
Mr. Dave loves to focus on the details of it all. Using the FBA Business Model, DIY Dave will likely use every trick, strategy, and utility at his disposal to smooth every ragged edge. There are numerous ways to decrease overall costs, increase margins, and facilitate growth for a listing. Mr. Dave is likely to be jumping headfirst into those.

Flipper Fred
Flipper Fred is the kind of persona who never keeps things on hand (or flipper) for too long.
He buys a business not to own it, but to raise the revenue

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and sell it for a higher price than he got it. The Amazon FBA business model is a goldmine for Flipper Fred when you consider the model's increasing popularity.

Strategic Sally
Sally has a profitable Amazon affiliate website. After learning about the FBA model, she decides to start selling her own product and exploit her traffic and affiliate link.
The Amazon FBA model fits a persona like Strategic Sally, who wants to expand her business into other interrelated ventures.

Growth Strategies
Mr. DIY Dave is not the only one that should be interested in smoothing ragged edges. There are many growth strategies that you can employ to make your Amazon FBA business more profitable.

Paid Traffic
Paid traffic is an easy and accessible option for directing customers to your page. A lot of stores boost their revenue with advertisements and paid traffic.
Optimize your campaigns and pay close attention to the feedback to get the most out of your money.

Build a Brand
When it comes to diversification, building a brand for your product makes it significantly easier.
When customers come across your products, which are attached to a brand, instead of occurring randomly, it will be easier for them to identify, even on a different channel. For you, having a brand makes it easier to market said products.

Build an Email List
An email list might not be the preferred strategy for everyone. However, if you own a brand with an established offering of products, a mailing list would help you create a niche around

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your business.

You can easily communicate with your buyers, facilitate frequent purchases by updating them about your offers, and continuously market your products with little to no cost.

Social Media

Just like with the mailing list, social media will bring you very sizable returns if you decide to take the build-a-brand route.

The organic traffic raised from different social media can make you a whole lot of money. You can also decide to boost your online presence through paid ads on various platforms. Apart from that, social media is free and would only require some effort from you to build some traction around your social media pages.

Twitter, Pinterest, and Instagram are great social media platforms to consider.

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AMAZON'S BUSINESS STRATEGY

The internet's 2300% annual growth rate in 1994 inspired Jeff Bezos to develop an online company concept. Due to the success of technical industries like Microsoft, he decided on Seattle.

Wikipedia claims that in addition to being one of the world's most valuable brands, Amazon is among the most significant economic and cultural forces globally. Before branching out into other product categories, Amazon started as an online bookstore.

AMAZON EMPLOYS A LONG-TERM APPROACH.

“We are confident in planting seeds and watching them grow into trees.” -Jeff Bezos.

Amazon Web Services was established in 2002. It was established to offer web developers APIs. Organizations like Pinterest use

Key Features of Amazon's Business Strategy
Amazon pinpointed a few crucial elements for its success. The first was a site with a well-known brand. When that was accomplished, giving their clients quality value came in

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second. And aside from these two, cost leadership and client centricity were also included as other key features.

As was previously noted, Amazon began as a bookstore and now sells anything that can be purchased online. Recently, Amazon introduced Amazon Home Services, a convenient method to order and schedule professional services like furniture assembly, handyman, electrician, and plumbing on Amazon.com.

Strengthening Amazon ecosystem

The cornerstone of Amazon's business strategy is its cooperative strategy. The internet business established a connection between its services and the expanding selection of items. The ecosystem provides a number of advantages, including low operating costs and ease of use for customers who frequently use Amazon to use multiple and extra items offered by the corporation.

The Amazon Ecosystem comprises authors, commentators, merchants, app developers, etc., who collaborate with Amazon to offer their clients valuable services. The top leadership of Amazon is completely concerned with ensuring that each element in its ecosystem benefits from one another.

Uncompromised focus on customer service

This is yet another important factor in Amazon's successful strategies. Amazon prioritizes long-term profits over short-term profits. Amazon's cooperation is unaffected by competition. They are solely concerned with ensuring that every customer is satisfied with the services they provide.

It is common knowledge that Amazon aspires to be the world's most customer-centric company. Amazon works hard to earn and keep its customers' trust and loyalty. They obsess over their customers, which is a massive part of their success.

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Focusing on Amazon's leadership values
Amazon's leadership principles describe how they do business. According to them, how leaders lead and how they keep the customer at the center of decisions.

"We hold ourselves and each other accountable for demonstrating leadership principles through our actions every day. Our unique Amazon culture, described by our Leadership Principles, helps us relentlessly pursue our mission of being Earth's most customer-centric company, the best employer, and the safest place to work."-Amazon

Focuses On The Long Term, Not The Short Term
"We are comfortable planting seeds and waiting for them to grow into trees. "-Jeff Bezos.

"We don't focus on the optics of the next quarter; we focus on what will be good for customers. I think this aspect of our culture is rare. "-Jeff Bezos

Strategy On Things That Don't Change
"Base your strategy on things that won't change....whereas if you base your strategy first and foremost on more transitory things-who your competitors are, what kind of technologies are available, and so on-those things are going to change so rapidly that you are going to have to change your strategy very rapidly, too." -Jeff Bezos

Opportunities and Not Failures
Jeff Bezos has always focused on opportunities; he sees setbacks as opportunities and solutions. This is proven whenever Bezos talks about failure and planting seeds.
"We are planting more seeds right now, and it is too early to talk about them, but we are going to continue to plant seeds. And I can guarantee you that everything we do will not work. And, I am never concerned about that."- Jeff Bezos.

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Strong Values & Culture
Amazon has several leadership principles, such as:

- Customer Obsession
- Ownership
- Invent and Simplify
- Be Curious
- Hire and develop the best
- High standards
- Think Big
- Bias for action
- Frugality
- Earn trust
- Dive deep
- Disagree and commit
- Deliver results

Competitive Prices
Amazon maintains its management by means of developing various product selections. They have moved from the arts (literature, music, and movies) to online groceries, cloud computing, and film and TV production. Amazon is regarded as the "everything store". There are some abnormal preferences of merchandise as well that can be found on Amazon, such as a mannequin of a fat duplicate or inflatable unicorn horns for cats.

Trains Employees To Understand The Customer
Jeff Bezos ensures that managers and all staff understand

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the customer's experience. He arranges for them to take a two-day training at a call center to allow them to understand what the customer goes through and to ensure humility.

Focusing On SEO & PPC

Amazon focused 90% of its marketing budget on SEO and PPC in 2015. Etsy is well-known for allocating a larger portion of its marketing budget to search marketing.

After Amazon, Apple was at 85%, followed by Target, Best Buy, etc.
Amazon is known for being successful with SEO and PPC services. That's why over 50% of people visit Amazon when searching for the desired product or wanting to make a purchase.

Diversified Patent Portfolio

Amazon has long-term profits. Their preferred long term has made it a dominant online retailer and arguably the largest online retailer. The Seattle-based behemoth is also shown for the variety of technology patents it has accumulated over time. It is also known for its unmatched level of investment.

A study has shown that Amazon emerged in 2017 as the global leader in R&D investment, with over $16.1 billion.

Investment in Different Technologies

U.S. e-commerce confirmed that Amazon has committed $1 billion to a new venture investment fund that aims to invest in companies developing technology to support various e-commerce business processes.

Amazon In Entertainment Sector

Amazon is aggressively competing in the entertainment sector. Though Netflix is the biggest streaming service, Amazon remains its strongest and biggest competitor.

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"Amazon knows who you really are"

Amazon Prime offers free content for the hottest games every month. Amazon Prime members now enjoy the best of entertainment.

Becoming A Logistics Powerhouse
Amazon is on the verge of starting small warehouses to support Prime Now and Amazon Fresh, its grocery delivery service. In Germany, where a fast expansion in online grocery delivery is expected, Amazon has been running warehouse purchase plans to tap into the market opportunities.

WHAT HAS AMAZON BEEN SUCCESSFUL IN?

Amazon grew from being a local bookstore to being one of the biggest business industries to grace the planet Earth. Its excellent user interface makes customers shop conveniently, even from the comfort of their homes. It has provided customers with free shipping, making it hard for others to compete.

While Amazon started as a bookstore, within two months, the company sold books in over 45 countries, making over $80,000 every month. Right now, they make over $100,000 every 14 seconds.

Amazon became the E-commerce giant and faced different court cases from Barnes and Nobles for being a false bookstore, and Amazon won the case. Walmart also sued them with allegations of them stealing some of Walmart's secrets. Even still, Amazon won the case and continued growing.

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STATISTICS ON AMAZON'S LEADERSHIP

Amazon has an estimated 200 million visitors every month. They have also generated $470 billion in revenue in 2021, making it the third-largest company in the world by revenue.

Amazon Web Services(AWS) held responsibility for 13% of that revenue. It also earned a $33.3 billion net income in 2021, around half of which came from AWS. 66% of consumers start their product searches on Amazon.

HOW DOES AMAZON RESPOND TO COMPETITION?

As mentioned above, Amazon doesn't focus solely on competition. They are more concerned about their customers' well-being. Nevertheless, at some point, a business giant like Amazon will face different sorts of competition.

Amazon doesn't have to deal with competition directly. Their cost leadership strategy has them covered, and a huge advantage they also have in hand is their customer obsession strategy.

They provide many services for their customers on their platforms and make it easy for them to purchase things. While there is intense competition in the market, Amazon still stands tall and dominant among all others.

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HOW DOES AMAZON POSITION ITS BRAND?

Amazon's brand was worth $176 billion in 2015. The success story of Amazon was developed by Jeff Bezos and how he began his business, starting with selling books from his garage to one of the biggest online businesses. Amazon is known for putting its customers first.

HOW DOES AMAZON MAINTAIN LEADERSHIP?

Amazon's leadership style is famous for its high standards and how they must be met by themselves and all the employees. They hire and develop the best and most exceptional talents.

"Leaders develop leaders."

Leaders think big. They think uniquely and differently in ways they can serve their customers rightly and profitably. They are known for listening attentively and treating their customers respectfully; they also operate at all levels. Despite minor setbacks the company faces occasionally, they rise to the challenge and never settles for less, despite the numerous competitors.

Product Selection

Amazon also maintains leadership with its product selection. Amazon keeps its leadership by creating a diverse product selection. They have moved from the arts (literature, music, and movies) to online groceries, cloud computing, and film

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and TV production. Amazon is known as the "everything store." Some odd selections of products can be found on Amazon, such as a model of a fat replica or inflatable unicorn horns for cats.

Offering Various Features and Services

Amazon is divided into several segments:

- Amazon Prime
- Amazon Video
- Amazon Cloud Drive & Cloud Player
- Amazon Web Services
- Amazon Fresh & Amazon Prime Pantry
- Amazon Dash
- Amazon Kindle
- Amazon Echo
- Fire TV

Continually Improves the Customer Experience

Amazon is always on the move to improve and provide a user-friendly interface for its customer service. They implemented the use of drones to deliver their goods, which started in England in December 2016.

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HOW DOES AMAZON RESPOND TO FAILURES AND SETBACKS?

"Innovation needs Failure."

In the past, Amazon has listed many products that have flopped in the business world. One of which is the fire phone, which recorded a loss of over $170 million.

Others include;

- Amazon Spark
- Amazon Restaurants
- Pop-up stores
- Amazon Wallet

These are just a few of the many losses Amazon has recorded in the past. Their numerous failures are part of what made them the giants they are today. However, it is very important to have more successes than failures in a business.

Taking risks is another important factor, as you will never know what works for you unless you try. Amazon embraces its failures and tries to learn from them.

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AMAZON ACQUISITION STRATEGY

Amazon has been harnessing its merger and acquisition strategy because it has closed 30+ deals within the past 5 years. Within the first two quarters of 2017 alone, the corporation closed eight deals that priced them.

The chart below summarizes Amazon's M&As from 2017 to 2021.

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WHAT MAKES AMAZON'S BUSINESS MODEL UNIQUE: THE PRICING STRATEGIES

As we said earlier, Amazon was founded by American entrepreneur Jeff Bezos in 1994 as an online bookstore by the name "Cadabra, Inc.". Through the process of expansion and the implementation of a two-sided marketplace system, Amazon has grown to be the large online marketplace it is today. Amazon (AMZN) serves as an intermediary for buyer-seller interaction. Aside from serving as a platform for sellers of all kinds of products to sell their goods, Amazon also manages an array of its own goods and services, including home technology and streaming services. Amazon's strategy of meeting virtually every consumer demand earned it the moniker "The Everything Store."

Amazon's pricing strategies have played a crucial role in the success of its business model. It specializes in offering the lowest possible prices for products and services that coincide with market changes. Using artificial intelligence technology and machine learning, Amazon has kept its pricing up to date with the market and competitors. Highlighted below are some of Amazon's winning pricing strategies.

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DYNAMIC PRICING

Also known as real-time pricing, dynamic pricing involves setting the costs of products or services in a flexible manner. This dynamic pricing is done through the use of pricing bots. These bots utilize data from price algorithms to adjust pricing based on various factors. The customer's location and activity are factors that can influence the algorithm.

Other factors can range from the time of day, day of the week, the available inventory of a product, and order history. It can also be affected by preferences set for a product, the expected margin on the product, the level of demand, and competitors' pricing.

Dynamic pricing is a prevalent technique used in online marketing. Through the collection and analysis of customer data, Amazon can more accurately predict the amount of money customers are willing to shell out for products and adjust prices to fit that demand.

Online retailers like Amazon frequently employ dynamic pricing by changing the prices of numerous products up to 2.5 million times per day. This spectacular strategy makes it such that a product on the site changes price every ten minutes. Notably, this consumer-oriented flexible pricing technique helped boost Amazon's profits by 25% on average.

PSYCHOLOGICAL PRICING

Customers who buy products on a budget will most likely gravitate toward a cheaper product. Psychological pricing takes advantage of this obvious consumer choice. By placing retail prices at just-below whole numbers, customers will read the price as lower than it is and treat it as a viable option.

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Instead of outright displaying a product at the price of $4, for example, retail outlets will place the product at $3.99, therefore, playing on the customer's intuition as they will see that as lower than the markup of $4.

Amazon's pricing algorithms use the psychological pricing strategy to influence customers' buying decisions. Amazon's prices are hailed as lower than those of its competitors, making it more attractive to customers. Going beyond this mild deception, Amazon offers discounts on best-selling products while also taking the initiative to make rare products more expensive.

COMPETITION MONITORING AND REPRICING

It is crucial to place products at an advantage in relation to the market. Monitoring the prices of competitors gives a good understanding of competitors' strategies. Automated techniques of pricing optimization that suggest competitive prices when doing a competitive product analysis keep a company ahead of competitors.

With that being said, every seller on Amazon constantly observes the prices offered by its competitors and reprices its products to attract more customers on the platform and achieve the coveted "buy box." Amazon uses algorithms to keep track of changing prices. With this, they can set the prices of products offered by various retailers accordingly.

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AMAZON'S VIRTUOUS CYCLE

Amazon's Flywheel, or "Victoria Cycle," as the company refers to it, was first penned on a napkin by Jeff Bezos. It is a business strategy that places improving the customer experience as the primary way to attract customers and third-party sellers to the platform. In addition, Amazon improves the selection of products and the cost structure to decrease prices, which further helps keep the flywheel moving.

According to Jeff Wilke, Amazon Consumer's former CEO, the process begins with the customer experience. It focuses on these key elements: low prices, a large selection, and a great delivery experience.

And because of their good customer experience, the site gets a lot of traffic. Instead of monetizing that traffic by selling Amazon products, the company focuses on allowing third parties to sell their products on Amazon.

Rather than focusing all of its efforts on the products that Amazon already sells, the company acts as a platform for third parties to offer a selection that Amazon may not have. That selection, in turn, further increases the customer experience, allowing the cycle to reinforce itself.

Amazon is also known for its cash machine strategy, which means that the company can operate efficiently even at very

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tight profit margins. Instead of distributing money in the form of dividends to its shareholders, Amazon turns it into lower prices to customers. This strategy encourages customers to buy more. Money accrued is also used to fuel other initiatives, like the streaming network Amazon Prime.

The flywheel is a constantly moving structure that strengthens itself and proves advantageous to third-party sellers on the platform.

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UNDERSTANDING AMAZON'S FINANCIAL MODEL

In 2021, Amazon generated over $33 billion in net income. This profit was primarily driven by the company's Amazon AWS business, which contributed over 55% of its operating margins. Other profits came from areas like Amazon Prime and ads. Amazon AWS is a major contributor to Amazon's operating and net income. Amazon's e-commerce platform, the online marketplace, operates at tight operating margins since it's built for scale.

Amazon's business model consists of subsidiaries, including but not limited to Amazon e-commerce, Amazon platform business, Amazon AWS, Amazon Prime, advertising, and more.

Amazon's diversified business model is one reason the company makes so much profit. In 2021 alone, Amazon accrued over $469 billion in revenues and over $33 billion in net profits. The company's online stores contributed to over 47% of Amazon's revenues. Third-party Seller Services, Amazon AWS, Subscription Services, advertising revenues, and Physical Stores also play a role in Amazon's profitability.

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AMAZON'S DIGITAL DISTRIBUTION

Amazon's business model follows two main distribution strategies:

1. **Business-to-Customer:** Its e-commerce platform is consumer-facing, providing millions of products to billions of users worldwide. The company targets billions of consumers across the globe. Aside from selling its own products, businesses and third-party stores use Amazon's eCommerce platform to reach customers. Amazon's eCommerce platform operates on tight profit margins, yet it generates cash in the short term. Amazon re-uses this cash to scale up its operations quickly. This side of Amazon's operations calls back to the virtuous cycle mentioned above. The company focuses on having a wide variety of products, low prices, and speedy delivery, all in a bid to increase customer satisfaction, the primary goal. To top it all off, over the years, Amazon has added Prime to enable consumers to get free delivery.

2. **Businesses-to-Business:** Amazon serves as a third-party platform and is one of the e-commerce sites that attract not only buyers but also sellers, which hosts other sellers. This aspect of Amazon's operations consists of a network of entrepreneurs who join Amazon to boost their sales. Third-party sellers can decide to sell on Amazon and take care of the fulfillment. Simply put, while they use the site, Amazon

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will take only a small revenue cut as a distribution fee. The third-party sellers could also decide to make use of Amazon's inventories. In this scenario, the seller won't have to store any inventory, and their products will be sent directly to Amazon. This takes care of the fulfillment. However, the seller ends up taking only a small cut of the overall revenues, as Amazon shoulders both the inventory, distribution, and fulfillment.

Amazon AWS is the cloud infrastructure that powers up a good chunk of the web. It is primarily a B2B and enterprise platform and was born as a way for Amazon to offer third-party sellers the ability to host their e-commerce on top of Amazon. AWS is now a company with its own structure. Amazon AWS also falls under the company's B2B structure.

On this side of Amazon's operations, Amazon offers a set of artificial intelligence and machine learning (AI/ML) tools that developers use to build cloud tools on top of Amazon AWS. Amazon's AWS also operates a qualified sales force that can sell those services to other businesses or potentially enterprise clients.

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AMAZON'S COMPETITORS

Here is a compilation of Amazon's most significant competitors:

ONLINE STORES

It's no secret that going online with a business is the best way for sellers to reach a wider audience and attract new customers. Moving online gives many entrepreneurs more control over their businesses and a steady opportunity to grow and eventually flourish. Nowadays, the amount of online stores is estimated at over 24 million. These online stores are a competitor to Amazon in niche areas where small businesses can offer the best products in their fields that Amazon lacks. It's easier for those businesses to offer customized experiences and goods, whereas Amazon cannot. For example, an individual with a particular custom statue in mind can commission an artist to create the piece through the artist's website. However, Amazon only has readily available retail paintings that do not match the customer's vision. Niche shops offer better quality in their fields than Amazon with its retail products.

WALMART

Known mainly for being a widely available chain of retail stores in the U.S., Walmart solidified its presence in the online retail market scene in 2009 with the launch of Walmart Marketplace. Walmart quickly rose to become one of

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Amazon's major competitors. The company was already known as one of the most budget-friendly stores in the U.S., so joining the e-commerce scene continued to thrive, solidly becoming the second most popular online store in the U.S.

ALIBABA

Alibaba is easily one of the world's largest retailers and e-commerce companies. A Chinese company specializing in e-commerce, retail, the internet, and technology, Alibaba has operated primarily as a B2B — business-to-business — platform since 1999. It is also one of the world's largest artificial intelligence companies.

Alibaba's position as a multinational e-commerce giant puts the company in competition with Amazon. Alibaba isn't primarily a seller-to-buyer platform like Amazon. However, many individuals use it for their shopping, taking time to weed out untrustworthy clients.

OTTO

The Otto Group started as a European-based mail-order company and global retail and services group with around 43,000 employees. Otto's position as one of the world's biggest e-commerce companies is thanks to its user-friendly interface and the wide range of products it offers. Otto makes sales in categories such as electronics, household items, and fashion, putting it on par with Amazon in those fields.

JINGDONG (J.D.)

JD.com, Inc., also known as Jingdong or Joybuy (formerly 360buy), is the largest retailer in China, a member of the NASDAQ100 and a Fortune Global 500 company. The

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Chinese e-commerce company has its headquarters in Beijing. It is a direct competitor to the Chinese site for business-to-consumer online retail, Tmall. Considering Jingdongs' English version, Joybuy ships to more than 200 countries and is a clear competitor to Amazon.

EBAY

Based in San Jose, California, eBay Inc. is an American multinational e-commerce company that pioneered customer-to-customer (C2C) online sales through its website. Customers were capable of trading with other customers, making it possible for them to find affordable second-hand products and collectibles. The company has since evolved to offer businesses-to-customer sales.

Unlike Amazon, eBay is more competitive, brandishes lower fees with fewer restrictions, and is also a customer-loyal brand.

FLIPKART

Founded in India in 2007, Flipkart is an e-commerce company headquartered in Bengaluru. Starting as an online book retailer with country-wide shipping, Flipkart has become the largest online retailer in India. Walmart acquired 77% of Flipkart's shares in 2018, and currently, more than 100 million accounts are registered on the platform. Amazon's presence in the Indian market competes with Flipkart's prominence in the country.

RAKUTEN

Rakuten Group, Inc. is a Japanese electronic commerce company and online retailing firm based in Tokyo. It was

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founded in 1997 and controls over 14% of the global e-commerce market. Rakuten is a primary competitor to Amazon in the Japanese market and has taken the initiative to purchase products from companies around the globe to expand its online presence. Rakuten is currently operating in the U.K. and Canada.

NEWEGG

Founded in 2001, Newegg has been praised as the global leader in selling PC components and helping popularize the PC-building movement. The company has a strong pull among PC and DIY enthusiasts. It offers a wide range of electronics, including but not limited to computers, TVs, cameras, and phones. Electronics is Amazon's most popular category, and Newegg serves as an alternative to purchasing electronics on the site.

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AMAZON'S SWOT ANALYSIS

Amazon is already one of the world's top business moguls, as highlighted earlier. Looking at the company's SWOT analysis gives insight into the strengths that keep Amazon at the top, the opportunities it has for further growth, the weaknesses it has to cure and the threats it should look out for.



AMAZON'S STRENGTHS

Below, some of Amazon's key strengths are detailed.

Brand

As a global e-commerce giant and online retail market,

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Amazon holds a strong position in the market and boasts a successful brand image. When it comes to brand valuation, Amazon has a brand value of $249 billion and falls to #2 in the rankings, one behind, according to Interbrand's Global Brand Ranking 2021.

Customer orientation
From Amazon's flexible pricing strategies to its personalized suggestions and customer-friendly interface, Amazon constantly works to cater to consumers' needs. Not only does this create a community of loyal customers, but it also attracts new customers to the brand.

Innovation
Amazon is constantly bringing new innovative technology to the market. A few of these innovations include its streaming network Amazon Prime, the digital assistant Alexa and Amazon's e-book reader, the Kindle. Amazon keeps developing new products and services while improving its current lineup.

Cost
Amazon has only a small number of physical stores, so it does not incur costs for maintaining them. Also, the company has little inventory and has partnered with multiple companies like Evi Technologies, Thalmic Labs, Shoefitr, The Orange Chef, and lots more to control costs in some regions of its supply chain. Thus, Amazon effectively delivers value to customers and simultaneously maintains a low-cost structure.

Large selection
Amazon truly lives up to its name of being 'The Everything Store' by owning an extensive mix of products, therefore allowing customers to purchase virtually everything on its platform instead of searching for alternatives. It's recorded that, as of 2021, Amazon has sold 75 million products in the Amazon.com Marketplace.

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Partners

As mentioned earlier, Amazon has a low physical inventory thanks to the partnerships the company has made, and it serves as a platform for third-party sellers. The high traffic volume on Amazon paved the way for third-party sellers to sell their products through the site. There are more than 2 billion items available from third-party sellers on Amazon. Amazon also partners with local supply companies to meet the needs of customers in different countries.

Logistics

Amazon is known for its reliable and quick deliveries. This is because Amazon makes use of highly efficient logistics and distribution systems. Fixed rates for different delivery periods, free shipping on some items, and agreeable return policies put it ahead of competitors in the logistics arena.

AMAZON'S WEAKNESSES

Highlighted below are some of the company's notable weaknesses:

Imitable business model

In this age of information and communication technology, online businesses are extremely common. One of Amazon's weaknesses is that its business model is easily replicable. This means that any company could achieve the same success as Amazon, consequently leaving Amazon susceptible to strong competitors. Companies such as Barnes & Noble, eBay, Netflix, Hulu, and Oyster are already giving Amazon a tough time.

Flops and failures

Amazon might be known for its ability to constantly shell out new innovations. However, more is needed to guarantee that

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such innovations will be well received. Company failures such as the Fire Phone and the Kindle Fire smear Amazon's successes.

Workplace conditions
In the past, there have been multiple negative reports about Amazon's workplace conditions and employee treatment. In 2018, Vox published negative reports on employees' treatment and workplace conditions against Amazon. Poor air conditioning, timed bathroom breaks, and constant video surveillance are mentioned in the report. Amazon delivery drivers also allege that they're forced to urinate in bottles due to the strict delivery time schedules and constraints. Amazon employees in Germany went on strike in protest of unsafe working conditions. These reports affect Amazon's reputation.

Dependence on distributors
Amazon highly depends on distributors for its supply chain work, which exposes the company to the prospect of being strong-armed into unfavorable negotiations to avoid losing distributors.

AMAZON'S OPPORTUNITIES

Below are some prospects the company should consider if it wishes to grow further:

Expansion
Amazon has already established itself as an e-commerce giant in the United States and other developed nations. However, it would do well to expand its operations in developing markets.

Physical stores
As mentioned, Amazon has only a handful of brick-and-mortar

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stores. By expanding physical stores, Amazon can become a retail giant and improve competitiveness against big-box retailers like Walmart.

Acquisitions
Amazon has made some significant acquisitions, such as Zappos shoe and clothing retailer. More purchases like this can increase market share and reduce the level of competition.

AMAZON'S THREATS

Below are some threats looming in Amazon's future:

Regulations
Some government regulations can threaten business proceedings and distribution in some countries. Amazon does not ship to Cuba, Iran, North Korea, Sudan, and Syria because of such regulations.

Exploitative labor
Amazon is one of the three retail moguls facing scrutiny from the U.S. for being associated with labor sources that have been linked to human rights abuses and maintaining supply chains with them. This exposes Amazon to reputational, economic, and legal risks.

Cybercrime
The majority of Amazon's operations take place online, and cybercrime is always a problem when it comes to online operations. Amazon's online marketplace could be hacked, and its customers' data leaked. This can cause the company to lose customer trust and may place it in legal battles with disgruntled customers.

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Competition

In addition to the big retail companies mentioned above as Amazon's competitors, the company's video streaming service, Amazon Prime, also faces strong competitors such as Netflix, Apple TV+, HBO Max, Hulu, Disney+, and more.

Recession

Like physical stores, online stores are not immune to economic recession. Such an event can undoubtedly impact Amazon's sales and slow its distribution.

Fake reviews

Reviews are an important part of online marketplaces, as customers rely on them to make purchase decisions. Amazon has a fake review problem, in which trolls or bots leave fake bad reviews on products, discouraging customers from purchasing. Amazon has already deleted thousands of fake reviews from its platform. However, this problem has worsened with the pandemic, and there seems to be no end to it. Amazon should take measures to weed out bot users and trolls.

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THE ORGANIZATIONAL STRUCTURE OF AMAZON

Amazon's organizational structure can be classified as predominantly hierarchical, with key elements of geographic divisions and function-based structure. The structure favors a vertical, hierarchical approach. In this hierarchical approach, operations are run upwards to a senior management team. This team includes three CEOs and three senior vice presidents responsible for reporting directly to the CEO, Andy Jassy.

Four key features of Amazon's organizational structure are:

1. **Hierarchical corporate structure:** Amazon's organizational structure used to be flat-line but, over the years, the hierarchical structure developed due to the immense size of the business. Amazon currently employs more than 1.3 million people worldwide, so a change was needed.

1. **Hybrid project groups:** The corporate structure works with mixed project groups when developing new products and services. Each field has its own department, and specialists from the aforementioned departments are rewarded with projects according to their skills and the competency required for the project. These employees can work as part-timers who report to the heads of their departments and project leaders. They can also be full-time project workers who report to the project manager only for the project

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duration.

1. **Flexibility of the business:** One might think that due to the size of the company, the hierarchical structure might be rigid. On the contrary, Amazon remains highly flexible in adapting to frequent changes in its external marketplace. The successful integration of hybrid project groups plays a key role in maintaining the flexibility of the business.

Amazon's organizational structure is broken down into multiple small teams that deal with various aspects of the business. Founder and former CEO Jeff Bezos is credited with introducing the "two-pizza rule." In contrast, a meeting should be held in teams small enough to be fed with only two boxes of pizza.

1. Stability in the top management: Unlike many other contemporary companies, Amazon has kept a stable upper echelon, with many of the company's top players having been at the company for years, if not decades.

As mentioned earlier, a senior management team is at the top of Amazon's organizational structure, reporting directly to CEO Andy Jassy. This senior management team is also known as the "S Team." This team of Amazon senior executives works with Jassy to disseminate his ideas, solve problems, set high-level goals, and shape company culture. The S Team has executives in charge of several groups, including finance, human resources, corporate affairs, Amazon Web Services (AWS), worldwide consumers, Amazon devices and digital management, operations, and legal and secretariat.

Despite Amazon's worldwide reach, the company only has two geographic divisions: North American and International. Amazon utilizes groups according to the physical location

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and related business goals. For example, the eCommerce arm of the company, Amazon.com Inc., uses groups to manage eCommerce operations based on geographic regions, associated regulatory frameworks, and logistical challenges. Subsequently, this allows Amazon to address country or region-specific issues proactively and efficiently.

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CONCLUSION

Amazon is arguably the largest and most successful diversified company, raking in $33 billion in 2021 alone. Amazon's flywheel, widespread business ventures, and carefully crafted e-commerce strategies keep the company ahead of its competitors.

Despite its flaws and looming threats, Amazon remains flexible and keeps shelling out innovations. Amazon appears unbeatable, and the company will only continue to grow as a profitable industry.

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